

TRIP pitch deck

PITCH — TRIP — VERDICT

ADJUDICATED 2026-08-08 — **DECLINE: no long, no short, no position.** The cheapness that made this interesting was an arithmetic error; the profit that remains sits inside a business the company itself says is being taken apart by AI search results, and the “growth” business is fed by that same shrinking traffic.

What we believe

Tripadvisor looks statistically cheap and is not. Three things are true at once, and together they close the case.

1. The profit number that made it look cheap was roughly 58% too high. The idea that arrived on our desk was: about \$500M of enterprise value against about \$300M a year of profit before interest, tax, depreciation and amortization — under two times. That \$300M came from taking the June quarter (\$76.4M) and multiplying by four. But the June quarter is the seasonal peak. The company’s own first-half number for continuing operations was \$92.8M, which means the March quarter was \$16.4M — the June quarter was 4.7x the March quarter. Using the company’s real historical seasonal split (first half = 48.1% of the year), the honest full-year 2026 figure is about **\$193M**, not \$305M. The “under two times” multiple does not exist; it is closer to three times, and on cash that actually belongs to shareholders it is seven to eight times.

2. That \$193M is falling fast, and the fall is accelerating. First half 2026 was \$92.8M against \$143.5M a year earlier — down 35%. The Hotels and Other segment (the old core Tripadvisor site) went from \$315M of segment profit in 2023 to \$254M in 2024 to \$207M in 2025, and is down 32% in the first half of 2026. Revenue there fell 21% in the June quarter. No sub-line inside it is growing: hotels -23%, advertising -12%, other -20%.

3. The company tells you why, in writing. From the 10-Q filed 2026-08-06 and the 2025 annual report: traffic loss from “**AI overviews displacing top ranked links, reduced click-through rates and a shift towards platform based non-traditional search,**” and separately that Google “frequently promotes its own competing products in its search results, which has negatively impacted placement of references to our company.” This is a distribution channel being withdrawn by a counterparty who is replacing it with their own answers. It is not a cycle.

The part that turns a cheap melting asset into a decline: the Experiences business (Viator) is not an independent growth engine sitting next to the melting one. It runs on the melting one’s traffic. Free search traffic used to feed it; that traffic is disappearing, so the demand now has to be bought. You can watch it happen in the numbers: Experiences marketing spend went from 56.2% of that segment’s revenue in Q2 2025 to 61.3% in Q2 2026 (first half: 60.6% → 64.8%), while revenue growth collapsed

from 13% to 3%. In the June quarter, an extra \$18.6M of marketing bought an extra \$8.1M of revenue — **\$2.30 spent for every \$1 gained**. That is not investment; it is paying to stand still.

There is one genuinely good decision here: selling TheFork to American Express Travel for \$700M cash. TheFork made \$118.5M of revenue and \$2.0M of operating income in the first half — effectively nothing. Selling a non-earner for roughly three times revenue is a good trade, with a \$35M fee payable to Tripadvisor if the deal dies on antitrust grounds. We just don't think it changes the answer.

What the market believes

The market is not confused; it is pricing this roughly correctly, which is the problem. At about \$10.23 the stock is down 49% from its 52-week high of \$20.16 and 13.5% off its low of \$9.01. The bull case that other people hold is:

- \$700M of cash arriving into a roughly \$1.2B company by year-end, which “must” be returned.
- The dual-class share structure and the Liberty TripAdvisor overhang are gone — a single class of shares, no controlling holder, and the last two Liberty-affiliated directors stepped off the board in March 2026.
- An activist investor is on the register, and management says \$85M of annual cost savings are landing in 2026.
- Experiences is the “largest, most durable growth category in travel” (the CEO's words) and the company is reshaping around it.

The market is not wrong that all of those facts are facts. It is that none of them survive contact with the profit trajectory.

Why we might have edge

Four places where careful reading beats the screen:

1. **The seasonality trap.** Anyone annualizing the June quarter gets a number 58% too high. This is the single most common way this name gets mispriced *upward* in a screen, and it is exactly how it reached us.
2. **The segment redefinition.** In late 2025 Tripadvisor changed how it reports segments. On the old basis, Viator was charged internally for the Tripadvisor traffic it consumed (about \$134–135M a year). On the new basis that charge is gone. Same \$840M of 2024 revenue, but the reported margin goes from 3.9% to 9.4%, and 2023 goes from 0.0% to positive. Total company profit is unchanged — \$334M old basis, \$333M new basis. Profit moved between boxes; none was created. Very few people re-derive this.
3. **What management does versus what it says.** Tripadvisor paid about \$16.27 a share to buy in Liberty TripAdvisor's stake in April 2025 and \$14.22 for a further \$40M in the open market. It has bought **zero** shares in 2026, in a window where the stock traded to \$9.01. Meanwhile the share count went from 114.76M (February) to 117.20M (July) — up 2.1% in six months on stock

compensation with nothing bought back. And the remaining buyback authorization is \$110M, not \$700M; a large buyback would need a new board approval that does not exist today.

4. **The cost savings are already in the bad number.** The \$85M savings program is being realized *during* the first half we just looked at. Profit fell \$50.7M anyway. Strip the savings out and underlying deterioration is around \$90M in one half-year, and there is no second \$85M program waiting for 2027.

Why it might be priced in

We should be honest that most of this is visible to anyone who reads the filings, and the stock is already down by half.

- **The structural-fix catalyst has already been run as a live experiment, and it failed.** “Collapse the share structure, remove the controlling holder, and the multiple re-rates” was tested in April 2025 at \$16.27. The stock is around \$10 now. That is the strongest evidence that the remaining catalysts are also priced.
- **The \$700M is real and the break fee floors the downside on the deal itself.** If you believe the cash gets returned, the math changes. We don’t — but that is a judgment, not a fact.
- **The valuation is genuinely low on the reported measure.** Roughly three times a falling profit number is not an obviously expensive stock. Our case is that the denominator keeps falling, not that the price is high.
- **We are also declining the short**, and for good reasons: 60% implied volatility, \$41M average daily dollar volume, an activist present, a \$700M cash inflow pending, and a company that discloses its own bad news honestly. Cheap-and-melting with a large cash event is a bad short.

What we checked ourselves

Includes where our own two benches got things wrong. The final adjudication outranks both.

Claim	How checked	Found	Confirmed?
“~\$300M of annual profit, under 2x enterprise value” (the idea as it arrived)	Re-derived from the 10-Q’s own segment note: first half = \$92.8M, so March quarter = \$92.8 – \$76.4 = \$16.4M; historical first-half share of the year = $143.5/298.3 = 48.1\%$; $92.8 \div 0.481$	~ \$193M , not \$305M. The peak quarter was 4.7x the trough quarter	No — refuted. The founding number of the idea was wrong
Take rate on Viator bookings is compressing	Our own red bench asserted this, then recomputed it	Our bench was wrong for the quarter — June-quarter revenue +3% against bookings value +3%, flat. It is compressing on a trailing-twelve-month basis: $20.0\% \rightarrow 19.7\% \rightarrow 19.4\%$, about 0.6 points over 18 months	Partly. Bench error, self-corrected
The margin improvement in	Second bench re-checked the arithmetic	Our first bench overstated it. Marketing expense only fell \$62M (from	Reduced. The conclusion survives

Claim	How checked	Found	Confirmed?
Experiences is purely the removal of a \$135M internal traffic charge	in our first bench's own table	\$562M to about \$500M) against a \$135M charge removal — meaning \$73–89M of other costs were moved <i>into</i> the segment at the same time. Net flattering effect is +\$46M / +5.5 margin points , not \$135M. The restatement is closer to a fair full-cost presentation than we first said	— on a fully-charged basis the business earned 0.0% in 2023 and 3.9% in 2024 — but our stated mechanism was too strong
“Management bought aggressively at \$14–16 and refuses to buy at \$10”	Second bench challenged the characterization	Our first bench overstated it. The \$436.5M Liberty transaction was a negotiated structural merger to remove the controlling holder, not an open-market call on price. What stands: \$40M bought in the open market at \$14.22, and \$0 bought in 2026 with the stock at \$9–13	Reduced but directionally intact
Per-share values in our own sum-of-the-parts	Second bench checked the share count used	Our first bench used 117.2M shares and ignored 11.9M unvested restricted and performance shares (10.2% of shares out; performance shares can pay up to 200% of target). Per-share values fall 5–8%	No — bench error. Our own bull case came down from \$16.27 to about \$15.1, and about \$13 on the restated basis
“\$76M of free cash” (profit less stock comp less capital spending)	Second bench added the missing lines	Our first bench omitted interest and cash taxes. About \$18M of net interest (6.39% on \$836M of term loan, less interest earned on cash). True cash available to shareholders is nearer \$50M before the TheFork close	No — bench error. Makes the case worse, not better
Upside/downside spread	Restruck at the then-live price of \$10.78 with the corrections above	Our first bench's “+54% upside” became –13% down / +26% up	No — bench error corrected
Tax leakage on the \$700M sale	Read Note 3 of the 10-Q directly	Not disclosed. No estimated gain, no estimated tax. Derivable: assets held for sale \$283.6M less liabilities \$60.5M = \$223.1M net book value, plus \$19.0M of accumulated other comprehensive loss netted from the gain — implying a pre-tax book gain around \$458M. Cash tax could be anywhere from \$0 to \$96M	Unverifiable. We flagged it rather than assuming zero
Competitors (GetYourGuide, Klook) are taking share	Attempted to source financials	getyourguide.com blocks automated requests even with a full browser fingerprint; the Swiss parent files no public accounts; the German entity is a service subsidiary, not the revenue entity	Unverifiable. We assert no share-loss number anywhere in this deck
Airbnb is scaling a competing experiences product	Airbnb's own Q2 2026 shareholder letter, filed 2026-08-06	“increasing Airbnb Experiences supply by nearly 80% year-over-year in Q2 2026... with seats booked accelerating.” Airbnb earns only a host fee on experiences and reports no experiences revenue line — a threat to pricing, not yet a measurable revenue threat	Yes, with the limit stated

Claim	How checked	Found	Confirmed?
Q3 earnings date of 2026-11-05	Checked provenance	Derived from a data vendor, not from a company announcement	No — treat as unconfirmed
Our evidence pack's own quarterly financial rows	Inspected	The revenue/stock-comp/cash-flow rows in the pack are 2016–2018 vintage and unusable for this analysis. We ignored them and used the filings	Pack defect, noted
Second bench's source access	Declared by that bench itself	SEC EDGAR blocked its automated requests and the broker data feed denied permission that session, so parts of its re-check ran through secondary reprints of the original release rather than the filing itself. Primary links given below	Partially — limitation stated, not hidden

Primary sources used above: the Q2-2026 10-Q at

<https://www.sec.gov/Archives/edgar/data/1526520/000119312526336693/> and the Q4-2024 earnings release exhibit (the original-basis segment table) at

https://www.sec.gov/Archives/edgar/data/1526520/000095017025023733/trip-ex99_1.htm

PROPOSED ENTRY BANDS

There is no entry. No long, no short, no order staged, no size. Position today: none. Size if this were approved: 0.0% of book. There is no price at which we buy this on current information — the objection is to the direction of the profit line, not to the price, so a lower price does not fix it. Buying it cheaper is buying the same melt at a discount, and we already watched the last structural catalyst fail from \$16.27.

These are the reopen gates, exactly as adjudicated:

- **Q3 10-Q Note 13 (~early Nov): Experiences marketing $\leq$ 58% of segment revenue -> re-look**
- **$\geq$ \$300M buyback authorized at TheFork close -> secondary reversal trigger**

Reading the first gate plainly: Experiences marketing was 61.3% of that segment's revenue in the June quarter and 64.8% for the first half. If the November filing shows 58% or lower, the “we have to buy back the traffic we used to get free” mechanism is not compounding, and the whole case deserves a fresh look. If it is higher, the case is confirmed and we do nothing.

Reading the second gate plainly: a *new* board authorization of at least \$300M — not the \$110M left on the old one, and not a press-release intention — landing at or around the TheFork closing would mean the cash is actually coming to shareholders rather than sitting on the balance sheet while the share count drifts up 4% a year.

Dates that matter: - **2026-11-05** — expected Q3 earnings release. Vendor-derived, **not confirmed by the company**. Treat proximity accordingly. - **2026-11-06** — expected Q3 10-Q; this is where Note 13 gives us the marketing ratio that decides the first gate. - **By end of 2026** — TheFork sale to

American Express Travel expected to close, subject to European antitrust clearances. Purchase agreement signed 2026-08-02; \$35M reverse termination fee if it fails on antitrust with all other conditions met.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 9.01 (deck-provisional: 52-week low break — log only, explicitly NOT a buy trigger; only the two fundamental reopen gates can)
- filing watch: 8-K until 2027-02-14 (deck-provisional: new share repurchase authorization $\geq$ \$300M at or after TheFork close — the secondary reversal trigger)
- dated pack TRIP|2026-11-06: TRIP Q3 10-Q: HIT = Experiences marketing $\leq$ 58% of segment rev (attribution honesty holding). RESOLVE: `python3 -m desk.calibration resolve T`
- dated pack TRIP|2026-11-05: TRIP: expected Q3 2026 earnings release — vendor-derived, not company-confirmed (date confirmed=False)
- dated pack TRIP|2026-12-31: TRIP: TheFork \$700M cash sale to American Express Travel expected to close, subject to European antitrust clearances (date confirmed=False)

What remains unverified

- **Tax on the TheFork sale.** Not disclosed anywhere. Our derived pre-tax book gain of about \$458M implies cash tax somewhere between \$0 and \$96M. Until the Q3 or year-end filing, we do not know how much of the \$700M is actually spendable.
- **The exact Q3 earnings date.** Vendor-derived only.
- **Competitor share loss.** We could not obtain any GetYourGuide or Klook financials from a reachable primary source. We therefore assert no share-loss figure. Airbnb's supply growth is verified; its effect on Viator's revenue is not.
- **Booking Holdings' 2026 attractions growth.** Verified at "about 80% growth off a small base" for 2025 from its annual report; there is no 2026 update in its latest quarterly filing or release.
- **Operator cross-listing pressure on Viator's economics.** Cross-listing is disclosed as an industry norm in Airbnb's filings, but no measured overlap data between Viator, GetYourGuide and Klook exists in any primary source we could reach. This is the weakest leg in the case and we do not lead with it.
- **Whether the segment restatement crosses into misleading presentation.** Our first bench wanted to escalate this; the second bench's arithmetic reduced it to a strong flag for review rather than a finding. Every underlying number is disclosed. Our objection is to the takeaway management draws from them ("reshaping around the largest, most durable growth category") when the same filing shows Experiences produced 12% of first-half profit and Hotels and Other produced 88%.

- **Whether \$193M is the right 2026 number.** It rests on 2025's seasonal split holding in 2026. It is the best available method from primary data, but it is a derived figure, not a disclosed one.

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